

INSURANCE AND PENSIONS COMMISSION



**FOURTH QUARTER REPORT
FOR
SELF ADMINISTERED PENSION FUNDS**

FOURTH QUARTER ENDED 31 DECEMBER 2012

1.0 Table of Contents

	Table	Graph	Page
Industry Overview	2.2		3

Standalone Funds

The Number of Standalone Self Administered Pension Funds	1		5
Membership Statistics	2	1	6
Contributions	3	2	7-9
Income and Expenditure	4	3	10-11
Fund Assets	5	4	11-13

Insurer Administered Funds

The Number of Insurers	1		15
Membership Statistics	2	1	15-16
Contributions	3	2	16-17
Income and Expenditure	4	3	18
Fund Assets	5	4	19

Fund Administrators

The Number of Fund administrators	1		21
Membership Statistics	2	1	21-22
Contributions	3	2	22-23
Income and Expenditure	4	3	23-24
Fund Assets	5	4	25

Legislation Amendments			26
------------------------	--	--	----

Conversion Audit			26
------------------	--	--	----

Conclusion			26
------------	--	--	----

2.0 Industry Overview

This report is based on returns submitted by 13 standalone funds, 3 fund administrators and two life assurers for the quarter ended 31 December 2012.

For the current reporting period, self administered funds reported contributions growth of 92% to close the year at \$284million(September 2012:\$147million).However 43% or \$122million of the contributions were in arrears(September 2012:28% or \$41million).Various rehabilitative measures are ongoing.

The fund administrators industry reported total received contributions amounting to \$142million (September 2012:106million) and expenditure of \$41million administrative costs reflecting a 27% expense ratio.

Total asset grew from \$1billion reported previously to \$1,5billion as at year end which was spread thus: standalone funds(\$965million or 64%),fund administrators (23% or \$355million) and insurer – administered funds(\$191million or 13%). There are positive signs of compliance with the prescribed asset ratio albeit at a conservative rate(See Table 2.2below).

2.2 Financial Summary for Self Administered Funds

Item	Standalone Funds			Insurer Administered			Fund Administrators			TOTALS		
	Sept 2012	Dec 2012	%	Sept 2012	Dec 2012	%	Sept 2012	Dec 2012	%	Sept 2012	Dec 2012	%
Arrear Contributions (\$000)	29,880	100,452	236	410	11,049	2595	10,743	10,685	1	41,033	122,186	198
Total Contributions (Incl.Arrears) (\$000)	74,361	191,165	157	24,937	48,374	94	48,137	44,157	(8)	147,435	283,696	92
Total Contributions (Excl. Arrears) (\$000)	44,481	70,713	59	24,547	37,323	52	37,394	33,472	(10)	106,422	141,508	33
Total Income (\$000)	72,723	99,436	37	33,472	61,088	83	58,946	60,835	3	165,141	221,359	34
Total Benefits	22,412	47,413	112%	11,420	13,344	17%	15,209	17,788	18%	49,041	78,545	60%
Total Expenses (\$000)	15,341	16,097	5	3,588	6,637	85	14,730	18,245	24	33,659	40,979	22
Net Income(\$000)	34,970	35,926	3%	18,464	41,107	123%	29,007	24,802	(14%)	82,441	101,835	24
(Expense/Contributions)%	35%	18%	17	15	18	3	39	55	16	32	27	5
(Expense/Total Income)%	21%	16%	5	11	11	-	39	30	(9)	20	19	(1)
Total Assets (\$000)	716,872	965,431	35	176,587	191,181	8	326,732	355,009	9	1,220,191	1,511,621	24
Prescribed Assets (\$000)	4,472	6,258	40	1,875	3,151	62	7,824	12,636		14,171	22,045	56
Prescribed Asset Ratio (%)	1	1	-	1	2	1	2	4	2	1	1	-



SECTION A

STAND ALONE FUNDS

3.0 Standalone Self Administered Pension Funds

This report is based on 13 standalone funds (See Table 1,below). Funds which failed to submit their returns on time were fined in terms of the act.

Table 1: Standalone Self Administered Pension Funds

Fund Name	Dec 2012
Catering Industry Pension Fund	1
Clothing Industry Pension Fund	1
Communication and Allied P/Fund	1
Construction Industry P/Fund	1
Local Authorities Pension Fund	1
Mining Industry Pension Fund	1
NRZ Pension Fund	1
Pentact Pension Scheme	*
ZB Financial Holdings P/Fund	*
ZESA Pension Fund	1
GMB	1
Zimpapers	*
Motor Industry	1
Ernst &Young	1
Aon Zimbabwe P/F	1
Zimbabwe Defence Industries P/F	1
TOTALS	13



*Returns not submitted

4.0 Pension Fund Membership

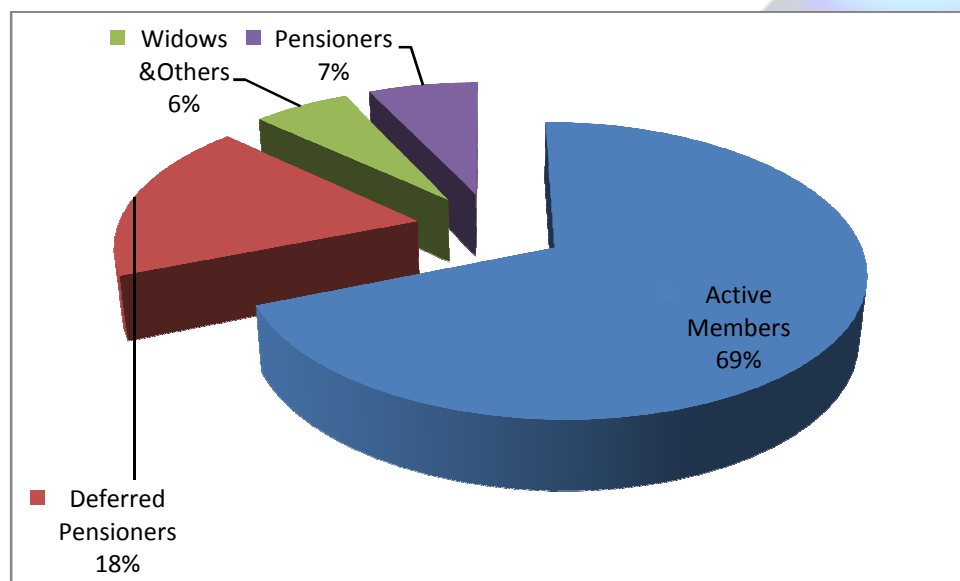
Total fund membership grew by 60% from the previous reporting period to close the period under review at 288 000. Active members contributed 69% (September 2012:60%), deferred pensioners were 18%(September 2012:26%), pensioners 6%(September 2012: 8%) whilst the balance was made up of beneficiaries (See Table 2 and Figure 1, below).

Table2: Membership per Stand alone Fund for the quarter ended 31 December 2012

Fund Name	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth
Catering IPF	*	16639	-	*	166	-	*	80	-	*	1	-	*	*	-	*	16886	-
Clothing IPF	11551	11424	(1%)	404	432	7%	0	0	0	0	0	-	(1186)	(512)	(56%)	11955	11856	(1%)
CAIPF	3555	3574	1%	2347	2342	0	1006	1031	2%	3296	2918	(11%)	(108)	(131)	21%	10204	9865	(3%)
CIPF	53339	56969	7%	5568	5586	0	105	36	(66%)	80	84	5%	(217)	(341)	57%	58875	62675	6%
LAPF	20241	20363	0%	-	-	0	4440	4082	(8%)	4842	7804	61%	(190)	(148)	(22%)	29333	32249	10%
MIPF	29720	29237	(2%)	41310	41368	0	6261	6389	(2%)	1092	1127	(3%)	(1629)	(2979)	83%	78383	78121	0
NRZ	7149	7149	0	1421	1426	0	5634	5656	0	8069	7973	1%	(165)	(213)	29%	22273	22204	0
ZB FHGPF	*		-	*		-	*		-	*		-	*		-	*		-
ZESA PF	6488	6488	-	0	0	-	143	143	-	72	72	-	0	0	-	6703	6703	-
GMB	2088	2066	(1%)	971	928	(4%)	16	16	0	0	0	-	(39)	(54)	38%	3075	3010	(2%)
Zimpapers	923	*	-	799	*	-	428	*	-	510	*	-	(33)	*	-	2660	*	-
Motor Ind	44418	44567	0%	0	0	-	107	122	14%	21	21	-	(226)	(197)	(13%)	44546	44710	-
Ernst &Young	173	168	(3%)	0	0	-	55	60	9%	0	0	-	(55)	(60)	9%	228	228	(26%)
Aon Zim P/F	-	89	0%	0	0	0%	-	1	0%	-	-	0%	-	(1)	0%	-	90	0%
Zimbabwe D I	-	186	-	0	0	0	0	0	0	-	8	0	-	(3)	200%	-	196	-
Totals	106 065	198 919	88%	47 252	52 248	11%	13 650	17 616	29%	13 060	20008	53%	(1925)	(45899)	141%	180 027	288793	60%

*Returns not submitted

Figure 1: Membership for Stand alone Funds for the quarter ended 31 December 2012



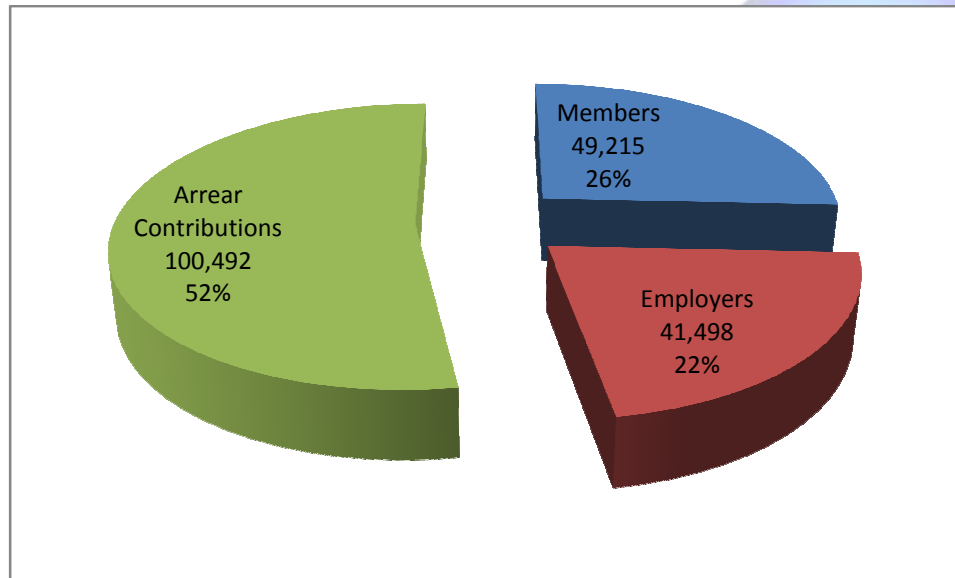
5.0 Contributions

Employer contributions amounted to \$141million or 74% of total contributions (September 2012:71% or \$53million) whilst active members contributed \$50million or 26% of total contributions (September 2012:29% or \$22million). However 53% of total contributions or \$100million was made up of arrears .IPEC has engaged employers to tender payment plans in order to rectify such fund arrears in terms of the Act(See Table 3and Figure 2,below).

Table 3: Contributions Statistics per Stand alone Fund for the quarter ended 31 December 2012

Fund Name	Contributions \$(000)						Arrear Contributions \$(000)						Total Contributions \$(000)		
	Members			Employers			Members			Employers					
	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth
Catering IPF	*	1,184	-	*	1,184	-	*	-	-	*	380	-	*	2,748	-
Clothing IPF	560	692	24%	785	969	23%	235	261	11%	329	366	11%	1,909	2,288	20%
CAIPF	1,943	2,590	33%	5,828	7,764	33%	561	768	37%	1,684	2,304	37%	10,016	13,426	34%
CIPF		2,280	50%		2,280	50%	-	-	-	-	513	-		5,073	-
LAPF		20,109	29%		7,245	37%	0	-	-	0	71,717	-		99,071	-
MIPF	10,553	14,812	40%	10,778	14,733	37%	-	-	-	5,086	3,342	(34%)	26,417	32,887	24%
NRZ	2,821	3,742	32%	-	-	-	-	-	-	12,382	13,530	9%	15,203	17,272	14%
ZB FHGPF	*	*	-	*		-	*		-	*		-	*		-
ZESA PF	1,510	1,028	32%	3,209	2,184	32%	0	0	-	4,009	5,192	30%	8,728	8,404	(4%)
GMB	326	503	54%	1,122	1,710	52%	49	2	(96%)	157	207	32%	1,654	2,422	46%
Zimpapers	410	*	-	761	*	-	1,237	*	-	2,494		-	4,902		-
Motor Ind	1,416	1,957	38%	2,123	2,935	38%	-	-	-	1,657	1,813	9%	5,196	6,705	29%
Ernst&Young	132	181	37%	203	279	37%	-	-	-	-	-	-	336	460	37%
Aon Zim p/f	*	121	-	-	184	-	0	0	0%	0	25	0%		330	-
Zimbabwe D I	-	16	-	-	31	0%	-	10	(9%)	-	22	22%		79	4%
Total	19,671	49,215	150%	24,809	41,498	67%	2,082	1,041	(50%)	27,798	99,411	258%	74,361	191,165	257%

Figure 2: Contributions Statistics per Stand alone Fund for the quarter ended 31 December 2012(\$000)



6.0 Income and Expenditure

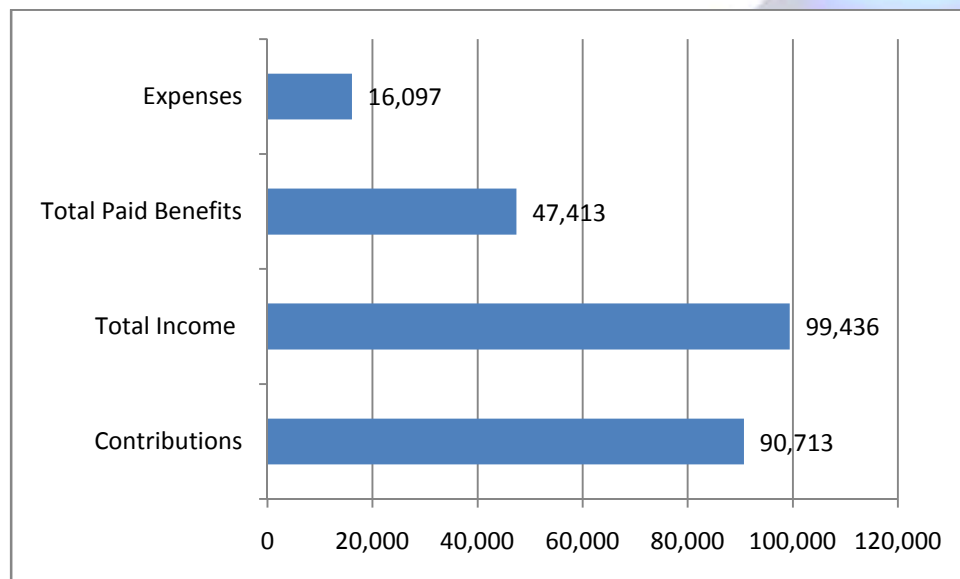
For the quarter ended 31 December 2012, total received contributions were \$91million, a 103% growth from the previous quarter. Standalone funds realized \$99million from \$73million reported in the prior quarter. For the same period the expense bill grew by 4% to close the year at \$16million.

Players reported an expense ratio of 18% from 35% in the previous quarter following directives to the relevant funds to adjust same to at most 10% of collected contributions in order to safeguard member values in line with the Act. This forms part of key aspects in our onsite inspections in order to make sure that funds will be able to meet their primary role of paying fair benefits to members at all appropriate times (See Table 4 and Figure 3 below).

Table 4: Income and Expenditure per Stand alone Fund for the fourth quarter ended 31 December 2012(\$000)

Fund Name	Total Contributions(Excl arrears) \$(000)			Total Income \$(000)			Total Paid Benefits \$(000)			Expenses \$(000)			(Expenses/Contributions)%			(Expenses/Total Income)%		
	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth
Catering IPF	*	2,368	-	*	3,563	-	*	486	-	*	1,815	-	-	77%	-	-	51%	-
Clothing IPF	1,385	1,661	20%	1,393	2,946	111%	338	602	78%	903	1,135	25%	65%	68%	3%	65%	39%	(24%)
CAIPF	7,771	10,354	33%	14,726	20,391	38%	5,795	8,601	48%	1,436	2,442	70%	18%	24%	6%	10%	12%	0%
CIPF	*	4,560	-	*	6,112	-	*	387	-	*	2,052	-	-	45%	-	-	10%	5%
LAPF	*	27,354	-	*	35,340	-	*	10,947	-	*	1,891	-	*	7%	-	*	5%	0
MIPF	21,502	29,545	37%	28,467	38,585	36%	7,714	12,911	67%	9,911	2,779	(72%)	46%	9%	(37%)	35%	7%	(28%)
NRZ	2,821	3,742	33%	14,603	20,281	39%	6,895	11,860	72%	1,080	1,644	52%	38%	44%	6%	7%	8%	1%
Pentact	*	*	-	*	*	-	*	*	-	*	*	-	*	-	-	*	*	-
ZB FHGPF	*	*	-	*	*	-	*	*	-	*	*	-	*	-	-	*	*	-
ZESA PF	4,719	3,212	(32%)	5,070	*	-	113	*	-	258	*	-	5%	*	-	5%	*	-
GMB	1,448	2,213	53%	1,910	2,806	47%	71	78	10%	483	751	55%	33%	34%	1%	25%	27%	2%
Zimpapers	1,171	*	-	1,417	*	-	449	*	-	361	*	-	31%	*	-	25%	-	-
Motor Ind	3,539	4,892	38%	4,747	6,902	45%	810	1,226	51%	940	1,320	40%	27%	27%	0	20%	19%	(2%)
Ernst&Young	336	460	37%	390	573	47%	227	252	11%	59	76	29%	18%	17%	(1%)	15%	13%	(2%)
Aon Zim P/F	-	305	-	*	425	-	*	32	-	*	170	-	*	56%	-	-	40%	-
Zimbabwe D I	-	47	-	*	97	-	*	31	-	*	22	-	-	47%	-	-	23%	-
Totals	44,692	90,713	103%	72,723	99,436	37%	22,412	47,413	112%	15,431	16,097	4%	35%	18%	(17%)	21%	16%	(5%)

Figure 3: Income and Expenditure for Standalone Funds for the third quarter ended 31 December 2012 (\$000)



7.0 Fund Assets

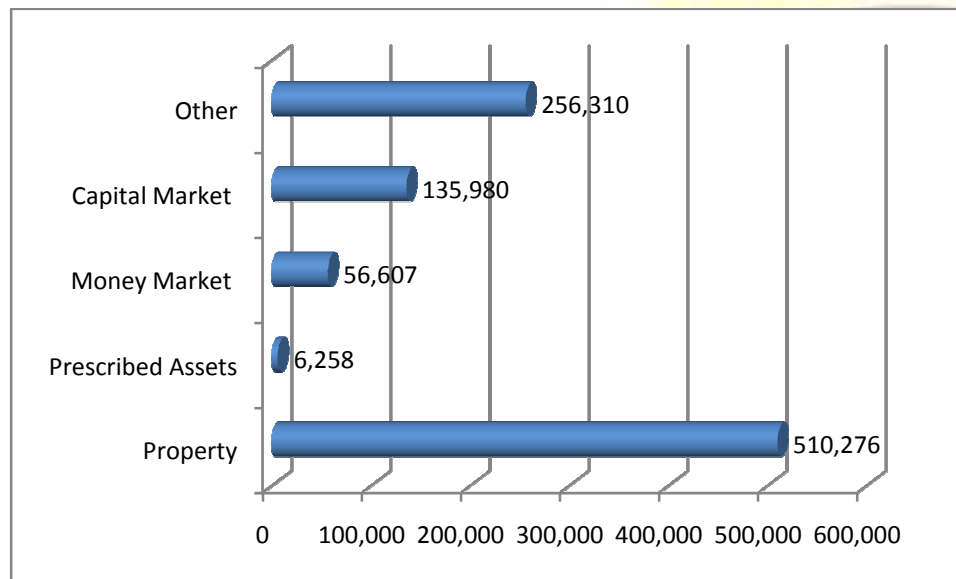
For the year ended 31 December 2012, fund assets in respect of Standalone funds were in properties {53% or \$510million:September 2012 :55% or \$396million}, equities {14% or \$136million:September 2012, 12% or \$89million}, money market {\$57million or 6%:September 2012:8% or \$51million} and other assets {27% or \$256million: September 2012:25% or \$176million}.From the foregoing statistics, properties lost their share as a result of disinvestments by funds to boost liquidity.

As a compliance issue, funds must invest 10% of their total assets in prescribed securities. For the period under review, the total asset base was at \$965million. Standalone funds subscribed \$6million instead of \$97million in prescribed assets, assuming minimum compliance. Engagements with players are ongoing to ensure full compliance with the law (See Table 5 and Figure 4, below).

Table 5: Fund Assets Market Value per Standalone Fund for the quarter ended 31 December 2012

Fund Name	Immovable Property(\$000)			Prescribed Assets(\$000)			Money Market Securities(\$000)			Capital Market Securities(\$000)			Other(\$000)			Total(\$000)		
	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth
Catering IPF	*	5,465	-	*	36	-	*	461	-	*	4,611	-	*	1,424	-	*	11,997	-
Clothing IPF	8,500	11,100	31%	0	100	-	1,129	1,193	6%	3,497	3,435	(2%)	1,708	1,472	(14%)	14,834	17,300	17%
CAIPF	74,240	83,771	13%	750	750	0%	1,703	6,503	282%	20,117	18,403	(9%)	18,506	18,985	3%	115,316	128,412	11%
CIPF	*	12,282	-	0	100	100%	*	0	30%	*	5,318	-	*	2,010	-	*	19,710	-
LAPF	*	68,939	-	0	0	-	*	0	-	*	25,387	-	*	76,100	-	*	170,426	-
MIPF	84,410	100,422	19%	3,035	4,083	35%	11,919	10,040	(16%)	38,605	50,418	31%	6,660	4,642	(30%)	144,629	169,605	17%
NRZ	212,635	213,131	-	0	0	-	21,817	19,923	9%	9,498	11,188	18%	124,148	124,638	-	368,098	368,880	-
Pentact			-										*	*	-	*		-
ZB FHGPF	*		-	*		-	*		-	*		-	*	*	-	*		-
ZESA PF	7,644	7,736	1%	242	342	41%	6,600	10,500	59%	4,589	4,537	(1%)	18,417	23,780	29%	37,492	46,895	25%
GMB	2,367	2,886	22%	334	300	(10%)	2,654	1,634	(38%)	174	177	2%	687	727	6%	6,216	5,724	8%
Zimpapers	2,393	*	-	0		-	5		-	918	*	-	3,820	*	-	7,136		-
Motor Ind	4,169	4,523	8%	111	483	335%	5,079	5,492	8%	10,737	10,981	2%	2,001	2,259	13%	22,097	23,738	7%
Earnst & Young	*	0	-	0	0	-	446	446	-	569	569	-	39	39	-	1,054	1,054	-
Aon Zim P/F	*	0	0	*	64	30%	*	386	-	*	791	2%	*	102	-	*	1,343	-
Zimbabwe DI	*	21	-	*	0	0%	0	29	-	*	165	7%	*	132	-	*	347	*
Totals	396,358	510,276	29%	4,472	6,258	40%	51,352	56,607	10%	88,704	135,980	53%	175,986	256,310	46%	716,872	965,431	35%

Figure 4: Fund Asset Values for Standalone Funds for the quarter ended 31 December 2012\$(000)





SECTION B:
INSURER ADMINISTERED FUNDS

1.0 Insurer Self Administered Pension Funds

This report covers 29 funds administered by 2 players (See Table 1, below).

Table 1: Fund Administrators

Insurer	Sept 2012	Dec 2012	Increase Funds
First Mutual	6	6	0
Old Mutual	23	23	0
TOTALS	29	29	0

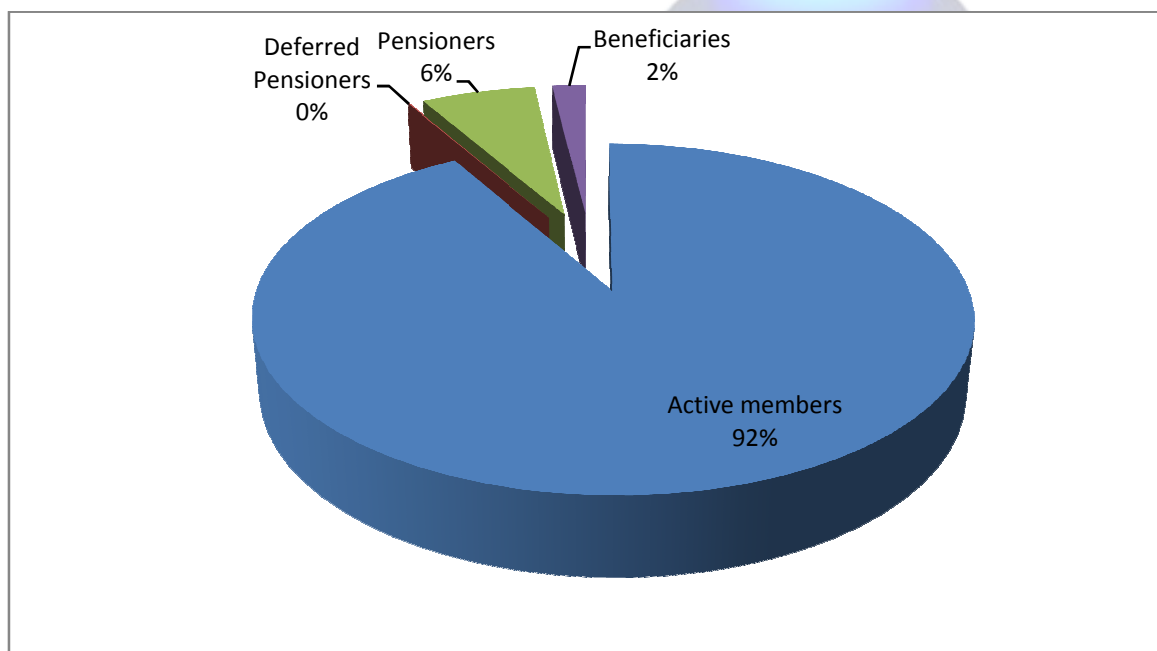
2.0 Pension Fund Membership

For the quarter ended 31 December 2012, total fund membership for insurer administered funds was 20810, a 23% growth from the previous reporting period. Active members numbered 19 094 or 92% of total membership (September 2012:91%), pensioners 6%(September 2012:7%) (See Table 2 and Figure 1, below).

Table 2: Membership for Insured Self Administered Pension Funds for the quarter ended 31 December 2012

Insurer	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	Sept 2012	Dec 2012	Growth	Sept 12	Dec 12	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth
First Mutual	2882	3686	28%	0	-	-	5	20	300%	1	24	2300%	(12)	(134)	102%	2888	3730	29%
Old Mutual	21857	15408	30%	60	17	(72%)	1881	1297	31%	461	358	(22%)	(337)	(141)	(58%)	24259	17080	(30%)
Totals	24739	19094	23%	60	17	(72%)	1886	1317	(30%)	462	382	(17%)	(349)	(275)	(21%)	27147	20810	(23%)

Figure 1: Membership Statistics for Insured Self Administered Funds for the quarter ended 31 December 2012



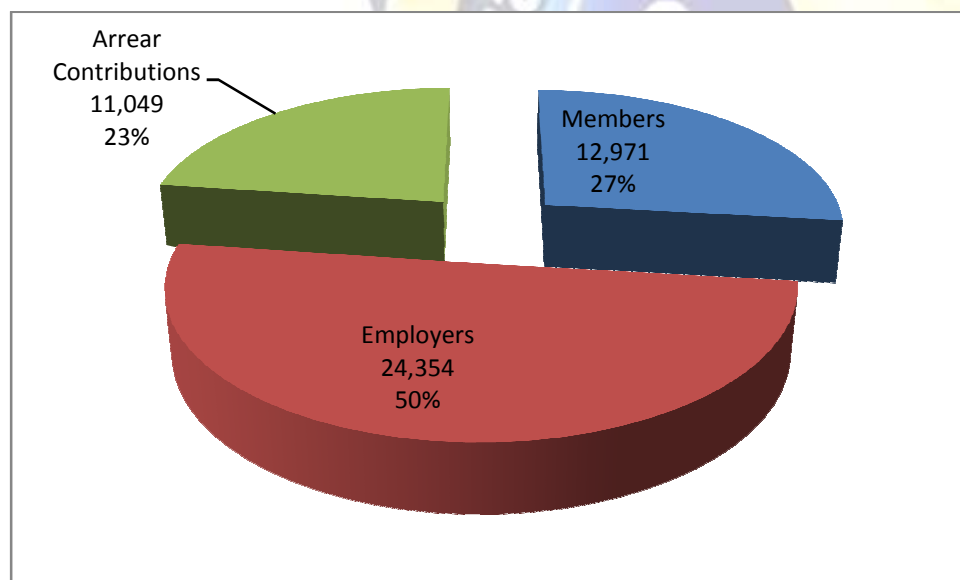
3.0 Contributions

For the quarter under review, employers contributed \$35million or 73% of the contribution receivables (September 2012:64% or \$16million) whilst employees paid \$13million or 27% of total contributions, a 45% growth from the previous quarter. However contribution arrears grew tremendously to close the year at \$11million or 23% of total contributions. This was mainly due to erroneous underreporting by players. Efforts are ongoing to amicably resolve this issue with employers including engagement with government especially on funds for parastatals(See Table 3 and Figure 2below).

Table 3: Contributions Statistics for Insured Self Administered Funds for the third quarter ended 31 December 2012

Insurer	Contributions \$(000)						Arrear Contributions \$(000)						Total Contributions \$(000)		
	Members			Employers			Members			Employers					
	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth
First Mutual	1,660	3,107	87%	1,164	4,923	323%	-	-	-	346	4,617	1234%	3,169	12,647	299%
Old Mutual	7,294	9,864	35%	14,410	19,431	35%	-	-	-	64	6,432	9950%	21,768	35,727	64%
Totals	8,954	12,971	45%	15,574	24,354	56%	-	-	-	410	11,049	2595%	24,937	48,374	94%

Figure 2: Contribution Statistics for Insured Self Administered Funds for the quarter ended 31 December 2012 \$(000)



4.0 Income and Expenditure

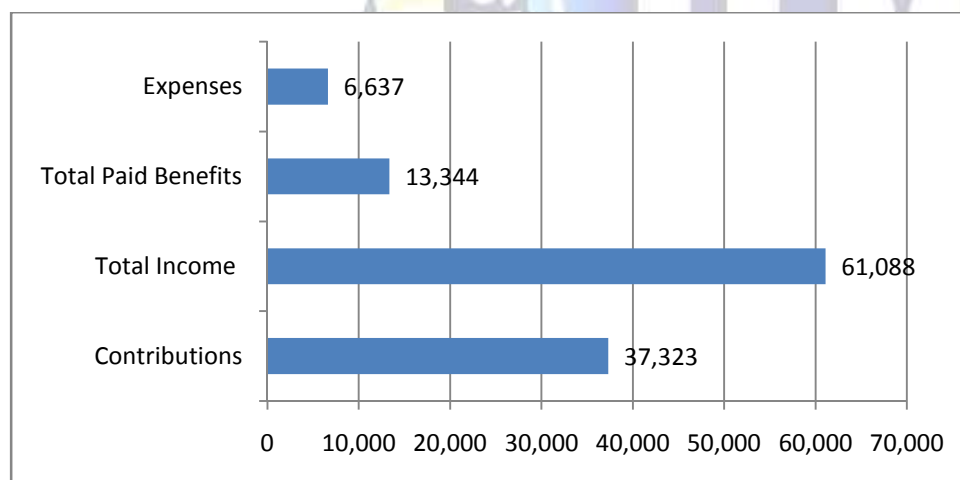
For the year ended 31 December 2012, insurers reported total income of \$61million(September 2012:\$33million).The expense to total income ratio remained stagnant at 11% from the previous reporting period.

The benefits paid were \$13 million, a 17% growth from the previous quarter .The expense ratio ,on the other hand, grew by 3% to close the year at 18% .IPEC considers low expense ratios of up to 10% so as to ensure fair benefits to members at retirement. To this end, IPEC is engaging pension funds and administrators to come up with efficient and rational cost structures given the current poor investment returns and outlook(See Table 4 and Figure 3 below).

Table 4: Income and Expenditure per Insurer for Self Administered Funds for the quarter ended 31 December 2012

Insurer	Total Contributions(Excl arrears) \$(000)			Total Income \$(000)			Total Paid Benefits \$(000)			Expenses \$(000)			(Expenses/Contributions)%			(Expenses/Total Income)%		
	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth
First Mutual	2,823	8,029	184%	2,753	18,749	581%	416	216	48%	70	1,996	2751%	2%	25%	1%	3%	11%	8%
Old Mutual	21,704	29,295	35%	30,719	43,059	40%	11,004	13,128	19%	3,518	4,641	32%	16%	16%	0%	11%	11%	0%
Totals	24,527	37,323	52%	33,472	61,088	85%	11,420	13,344	17%	3,588	6,637	85%	15%	18	3%	11%	11%	0%

Figure 3: Income and Expenditure for Insured Self Administered Funds for the quarter ended 31 December 2012 (\$000)



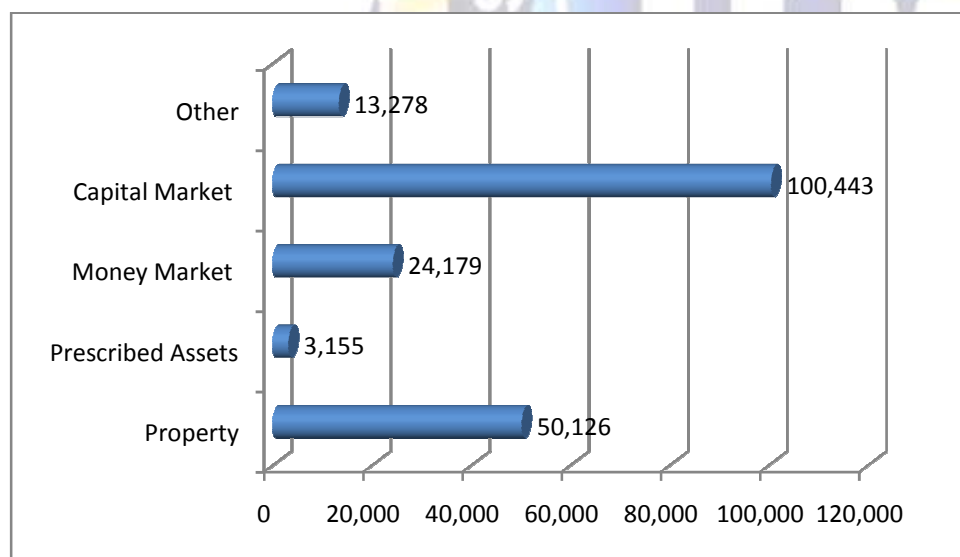
5.0 Fund Assets

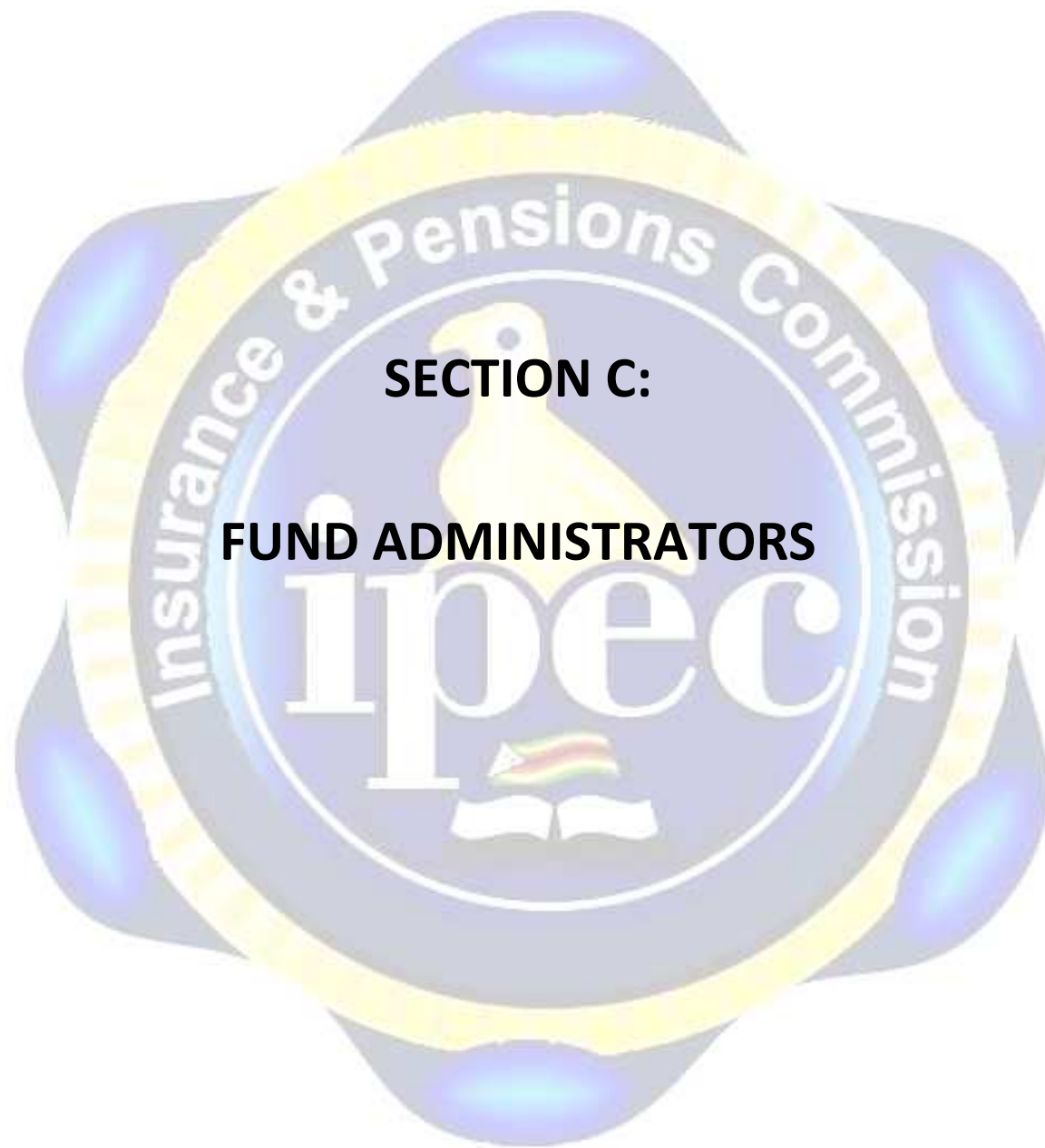
For the quarter under review, insurer administered funds had an asset portfolio mix of properties {26% or \$50million, September 2012:28% or \$50million}, equities {53% or \$100million,September 2012:55% or \$98million, }, money market {13% or \$24million,September 2012:11% or \$20million} and other assets {7%,September 2012:4% or \$8million}.Due to player pessimism of the viability of existing paper, compliance with the prescribed asset ratio continues to be a challenge as it closed the year at 2% instead of 10% (See Table 5 and Figure 4, below).Engagements are in progress to enhance compliance .

Table 5: Fund Asset Statistics At Market Value for Insured Self Administered Funds for the quarter ended 31 December 2012

Fund Name	Immovable Property\$(000)			Prescribed Assets\$(000)			Money Market Securities\$(000)			Capital Market Securities\$(000)			Other\$(000)			Total\$(000)		
	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth
First Mutual	694	353	(49%)	10	31	210%	18	24	33%	8,044	9,394	17%	1,317	6,086	362%	10,083	15,888	58%
Old Mutual	49,007	49,773	2%	1,865	3,124	68%	19,600	24,155	23%	89,469	91,049	2%	6,563	7,192	10%	166,504	175,293	5%
Totals	49,701	50,126	1%	1,875	3,155	68%	19,618	24,179	24%	97,513	100,443	3%	7,880	13,278	69%	176,587	191,181	8%

Figure 4: Fund Assets \$(000)





SECTION C:

FUND ADMINISTRATORS

1.0 Fund Administrators

This report is based on 131 funds in the books of the listed administrators (See Table 1, below).

Table 1: Fund Administrators

Fund Administrator	Sept 2012	Dec 2012	Increase/Decrease
Aon Consulting	58	58	0
Comarton Consultants	30	30	-
Marsh	43	43	0
TOTALS	131	131	0

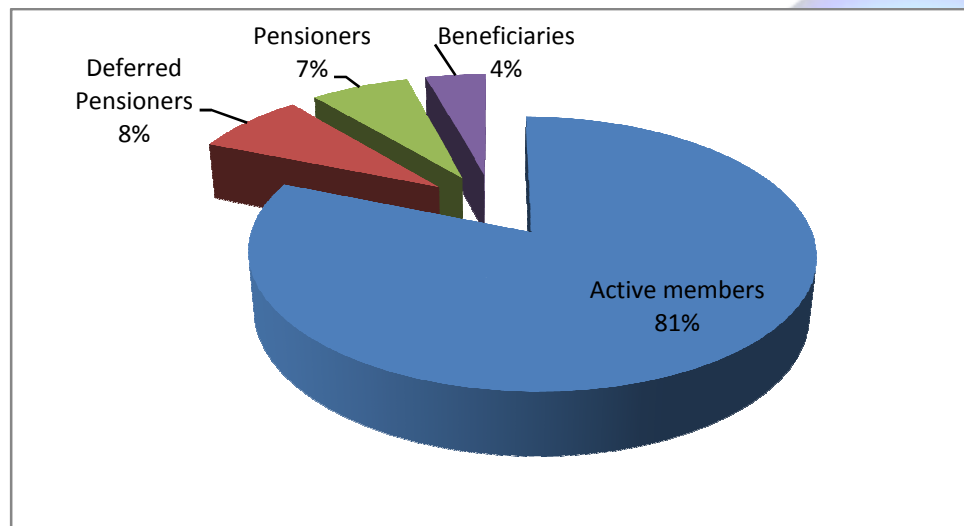
2.0 Pension Fund Membership

For the quarter under review, fund administrators reported that fund membership declined by 16% to close the quarter at 81 657. The major constituents were active members who made up 81% of total membership (September 2012:76%), pensioners and beneficiaries represented 11 % membership (September 2012:16%) whilst deferred pensioners constituted the balance (September 2012:8%) (See Table 2 and figure 1 below).

Table2: Membership for Self Administered Funds for the third quarter ended 31 December 2012

Administrator	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth
Aon	26308	33671	28%	811	1275	57%	2,165	554	(74%)	39	-	-	(761)	(397)	(48%)	29323	35500	19%
Comarton	16813	16449	(2%)	939	938	0%	1894	1893	0%	1617	1613	0	(368)	(610)	70%	21063	20893	(1%)
Marsh	10436	16162	55%	4191	4141	(1%)	3767	3174	(16%)	1840	1787	(3%)	(319)	(124)	(61%)	20234	25264	5%
Totals	53557	66282	23%	5941	6354	7%	7826	5621	28%	3496	3400	(3%)	(1448)	(521)	(64%)	70620	81657	(16%)

Figure 1: Membership for the third quarter ended 31 December 2012



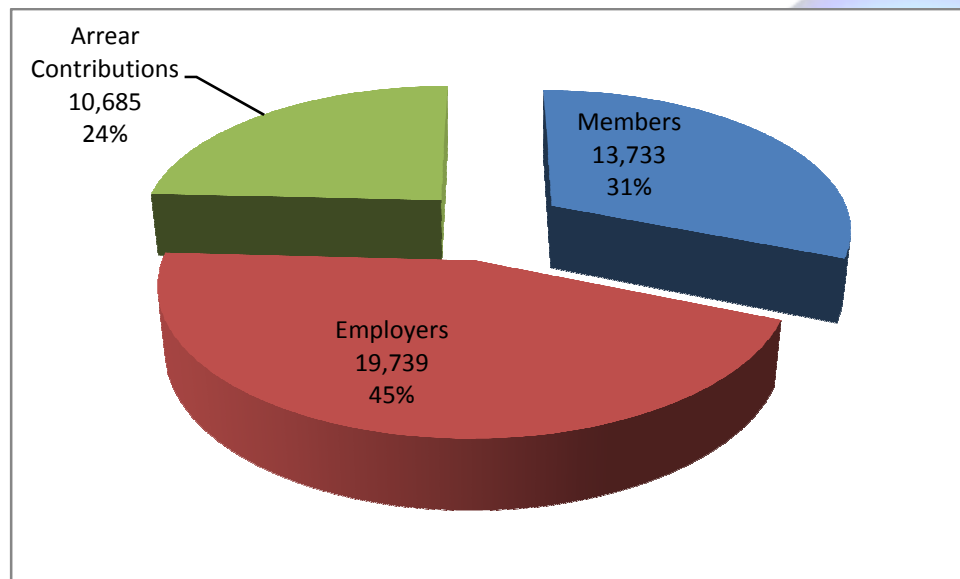
3.0 Contributions

For the under review, fund administrators reported their contributions book as shown in Table 3 and Figure 2 below.

Table 3: Contributions Statistics for Self Administered Funds for the third quarter ended 31 December 2012

Fund Name	Contributions \$(000)						Arrear Contributions \$(000)						Total Contributions \$(000)		
	Members			Employers			Members			Employers					
	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth
Aon	7,769	3,596	(54%)	13,736	5,001	(64%)	672	400	40%	1,158	1,727	49%	23,335	10,724	(54%)
Comarton	1,419	2,324	64%	3,524	7,084	101%	1,032	891	(14%)	2,577	2,307	(10%)	8,552	12,606	47%
Marsh	4,713	7,813	66%	6,233	7,654	23%	-	-	-	5,304	5,360	1%	16,250	20,827	28%
Total	13,9019	13,733	(1%)	23,493	19,739	(16%)	1,704	1,291	(24%)	9,039	9,394	4%	48,137	44,157	8%

Figure 2: Contributions \$(000)



For the quarter under review, contribution arrears constituted \$11 million or 24% of total contributions (September 2012: 22% or \$11 million). Efforts to make good these arrears have been mainly hampered by employer incapacity to pay up though some repayment plans are being adhered to.

Active fund members contributed \$15 million or 34% of the global figure (September 2012: \$16 million or 32%) whilst employers contributed \$29 million (September 2012: \$33 million or 68%).

4.0 Income and Expenditure

On a quarterly basis, reported total income increased marginally by 2% to close the year at \$60 million, whilst benefit payments grew by 18% despite no significant changes in pensioner and beneficiary's population suggesting improved benefits.

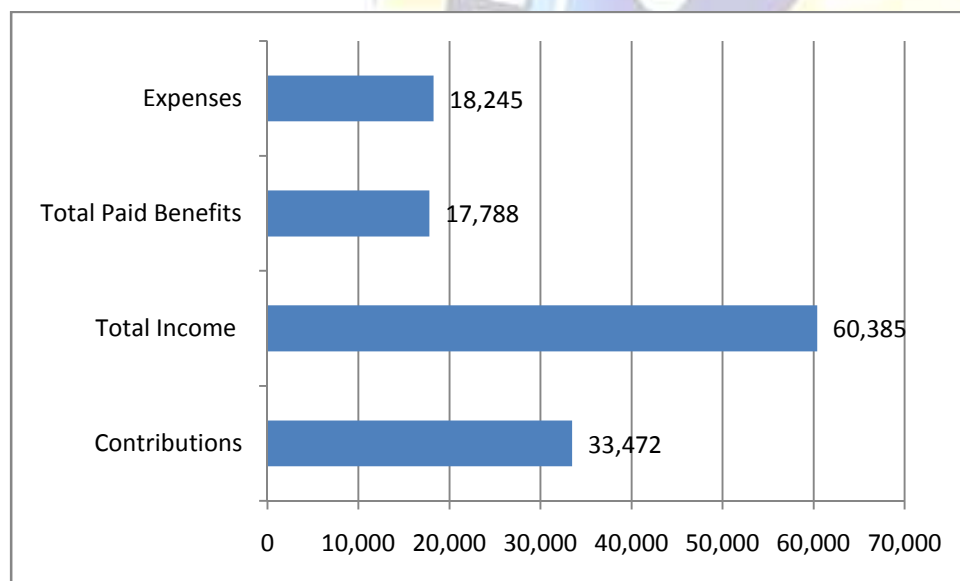
Fund administrators reported a combined expense ratio of 55% against a generally expected maximum of 10%. Not only does this scenario lead to perennially low member values but also exposes the players to easy competition from other administrators particularly insurers who are comparatively cheaper. In addition to ongoing engagements to address this problem, our onsite

inspections will concentrate on getting more appreciation on players' costing models among other issues(See Table 4 and Figure 3 below).

Table 4: Income and Expenditure for Self Administered Funds for the third quarter ended 31 December 2012

Fund Name	Total Contributions(Excl arrears) \$(000)			Total Income \$(000)			Total Paid Benefits \$(000)			Expenses \$(000)			(Expenses/Contributions)%			(Expenses/Total Income)%		
	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth
Aon	21,505	8,597	17%	32,649	19,655	(40%)	7,974	8,176	3%	6,198	6,518	5%	29%	76%	(3%)	19%	33%	14%
Comarton	4,943	9,408	90%	8,985	14,568	62%	2,481	3,293	33%	3,706	4,945	33%	75%	53%	(22%)	43%	34%	(9%)
Marsh	10,946	15,467	41%	17,312	26,162	51%	4,754	6,319	33%	4,826	6,782	41%	44%	44%	-	28%	26%	(2%)
Totals	37,394	33,472	10%	58,946	60,385	2%	15,209	17,788	18%	14,730	18,245	24%	39%	55%	37%	39%	30%	(9%)

Figure 3: Income and Expenditure \$ (000)



5.0 Fund Assets

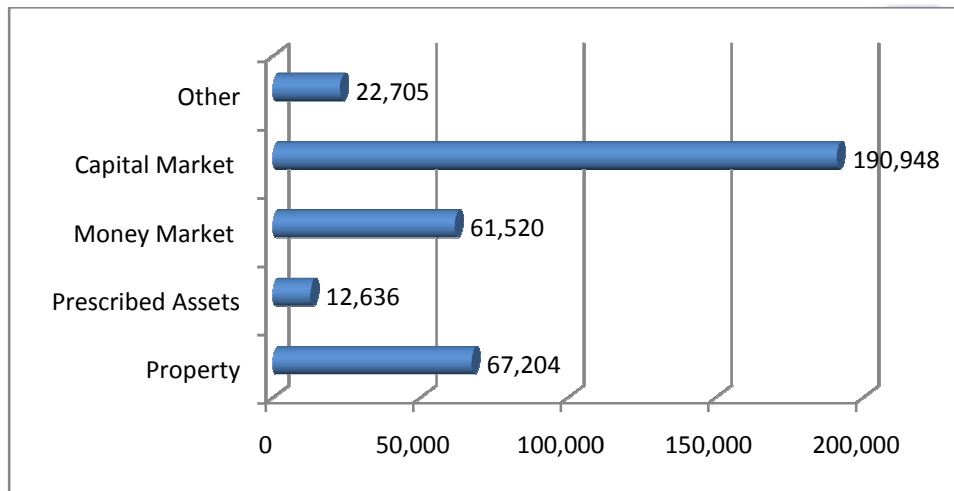
For the quarter under review, fund administrators held 19% or \$67million of their assets properties (September 2012:18%), 54% in the capital market (September 2012: 57%), money market 17%(September 2012: 16%) and the balance of 6% and 4% in other assets and prescribed assets respectively (See Table 5 and Figure 4, below).

Of the other administrators, fund administrators reported the highest compliance rate to the prescribed asset ratio. As reported elsewhere, efforts are ongoing to ensure full compliance to the Act.

Table 5: Fund Asset Statistics At Market Value for Self Administered Funds for the third quarter ended 31 December 2012

Fund Name	Immovable Property \$(000)			Prescribed Assets \$(000)			Money Market Securities \$(000)			Capital Market Securities \$(000)			Other \$(000)			Total \$(000)		
	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth	Sept 2012	Dec 2012	Growth
Aon	16,977	24,028	42%	5,063	6,181	22%	36,727	37,771	3%	91,579	81,639	(11%)	7,678	9,259	21%	158,024	158,878	1%
Comarton	-	-		561	738	32%	9,956	9,327	(6%)	50,700	52,473	3%	-	2	-	61,217	62,536	(24%)
Marsh	43,176	43,176	-	2,200	5,717	160%	6,560	14,422	120%	45,179	56,836	26%	10,376	13,444	30%	107,491	133,595	24%
Totals	60,153	67,204	12%	7,824	12,636	62%	53,243	61,520	16%	187,458	190,948	(2%)	18,054	22,705	(44%)	326,732	355,009	9%

Figure 4: Fund Assets \$(000)



6.0 Legislation Amendments

As reported previously, the amendments to the Pensions and Provident Fund Act Chapter 24:09 are ongoing and suggestions are still welcome from stakeholders.

7.0 Conversion Audit

The actuarial audit into the conversion of benefits into United States dollars was completed and internal reviews are being done.

Conclusion

The number of players who submitted returns for the fourth quarter has improved. Players are encouraged to submit returns signed by the respective principal officers and on time in order to enable the Commission to produce the quarterly report timely.

